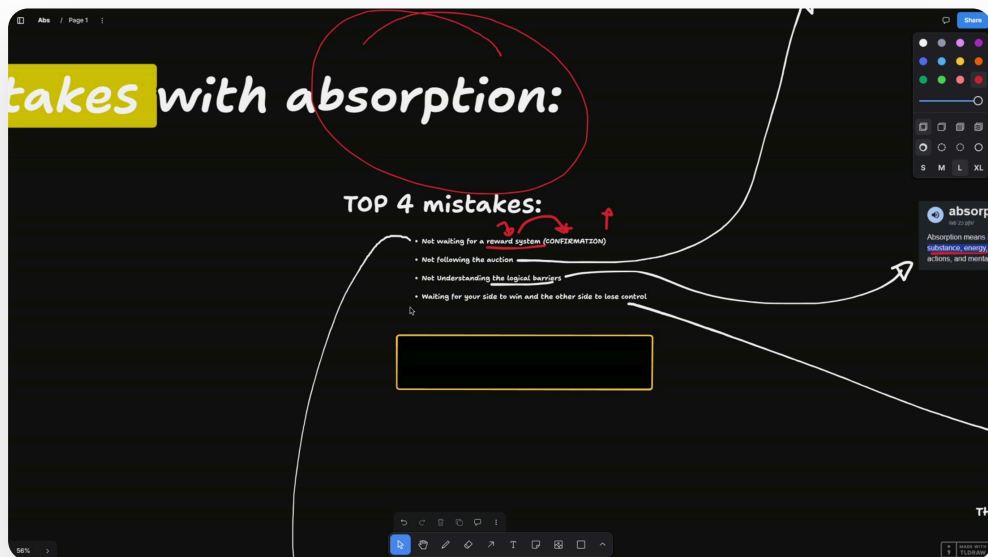




Your Mistakes With Absorption

The four reasons the same signal keeps faking you out, and the confirmation that fixes each one

SIRES x ETHOS ORDER FLOW



ABSORPTION • 4 MISTAKES • REWARD SYSTEMS • 14 PAGES

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every rule in this document, printable

Why entering on absorption alone fails 27% of the time

the mistake underneath all four of the mistakes below

This document is built around one live-trading question: what are the specific, repeatable mistakes that turn a real absorption read into a losing entry. Not a new definition of absorption, the same one, applied with four extra checks most people skip.

The headline number is stated flat, no hedge: roughly 27 percent of all absorptions fail without what he calls a reward system, a three tick replenishment in your direction within three ticks of the absorption printing. Skip that check and you are entering on every absorption print, including the quarter of them that were never going to work.

The four mistakes below are not four unrelated tips. They are four different checks on the same underlying question: has this absorption actually been confirmed, or have you just seen a print and assumed it means something.

The order matters. He ranks "not following the auction" as mistake two now, having ranked it mistake one in earlier videos, because by his own account most of his audience has already fixed it. Not waiting for a reward system is now the most common mistake left standing.

Mistake 1: not waiting for a reward system

the 3 tick rule, and how to actually read it

The single most common mistake, ahead of the other three combined. Absorption prints, and the entry goes in immediately, on the print itself. His correction: wait for confirmation after the absorption occurs, not the moment it occurs.

The confirmation has a specific shape. Price needs to move in your direction within three ticks of the absorption for it to count as replenished. Miss that window and the absorption is treated as unconfirmed, whatever it looked like on the print.

On the chart: buyers come in at a top, price comes down, sellers confirm the move lower. But if those sellers are not being replenished, if the time and sales or speed of tape shows sellers refreshing and buyers stepping in instantly to defend, that is buyers defending, not sellers in control. Entering there means entering where the side you are fading is actively winning.

THE REWARD SYSTEM: A CONFIRMED 3-TICK MOVE, READ AGAINST TIME AND SALES AND CVD



The CVD version of the same check

median line, directional Delta, and why absorption only fades a move

CVD gives the same confirmation a second way. Plot the median line: if price is sitting above it, the overall directional aggression in Delta is bullish, whatever an individual absorption print seems to suggest on its own.

This is also where the logical scope of absorption gets stated plainly: you only use it in reversal scenarios, never to catch a continuation of the move that is already running. In an uptrend, absorption is what you use to look for shorts against that trend, not longs with it.

The confirmation test: price is bullish and going up, sitting above the CVD median. It falls off, testing the median rather than breaking it. That is the market telling you the uptrend is still intact. A short taken on an absorption print into that test fails, not because the print was fake, but because the reward system, the follow-through, never confirmed it.

"Remember, absorption, you only use it logically in reversal type of scenarios. You're not using it to try to catch a continuation of a move."

Mistake 2: not following the auction

the same signature is a coin flip at POC and a real signal at a real extreme

Knowing the order flow tools, the footprint, DOM, and Big Trades bubbles, is not enough on its own. They are all showing you roughly the same underlying information: real orders. What they cannot tell you is whether the price they are printing at is a place where absorption actually means something.

The example: a daily volume profile with its Delta profile, VAH, POC and VAL already drawn. Buyers push into a top, get hit to the wall, sellers come in and the opposition looks like it is failing, exactly the absorption reversal signature. Price should go down. It doesn't. It comes back up, because the location was close to POC and balance, the area price is statistically most likely to chop inside rather than reject from.

The fix is not a different read of the print. It's asking the location question before taking the signal at all: is this at an extreme, a shelf, a ledge, a low volume node, a minor volume node, or is it in the middle of balance where the signature means nothing.

THE ABSORPTION SIGNATURE AT POC: RIGHT SHAPE, WRONG LOCATION



Labeled "THIS IS NOT ABS" in his own notes, not because the order flow print is fake, but because the location makes it meaningless.

Why value area high and low lag price

current day VAH/VAL move as price moves, real extremes don't

A specific trap inside mistake two: treating the current day's VAH and VAL as fixed extremes worth trading absorption against. They are extremes, but they are arbitrary in one important sense, they shift as price shifts through the session. He calls it a lagging indicator, and the description is exact: it is not a level, it's a value that recalculates as the day develops.

The distinction he draws: current day VAH/VAL, treat with caution. Previous day's VAH and VAL, more usable, because that day is closed and the level is no longer moving under you. What he actually wants for absorption entries are real extremes: shelves, ledges, low volume nodes, minor volume nodes, places that were set once and stay put.

Same tool, different reliability. This isn't an argument against volume profile. It's the difference between a level that is still being written and a level that is already finished. Absorption logic assumes the level means something fixed; a level that's still moving can't give you that.

Mistake 3: not understanding the definition

absorption as a sponge, and the effort versus reward test underneath it

Before the chart, the plain definition: absorption is the process of one thing taking in, soaking up, or receiving another substance. His own image for it is a sponge, and it's worth taking literally rather than as a throwaway metaphor, because the mechanics map directly onto the chart.

Price pushes up aggressively, a ton of effort from buyers, pumping. Then it instantly hits a wall. That wall is passive sellers, arriving not to chase price but to sit there and absorb it, soaking up the aggression the way a sponge soaks up liquid. You'll often see a bubble of aggressive buying print right at that wall, and then price goes lower anyway.

The test that separates a real read from a guess: are the buyers being rewarded for that effort. If price goes up on effort and gets nothing for it, that's the tell. Then a second signal has to show up, seller aggression, actual reward on the other side, before the reversal is anything more than a hope.

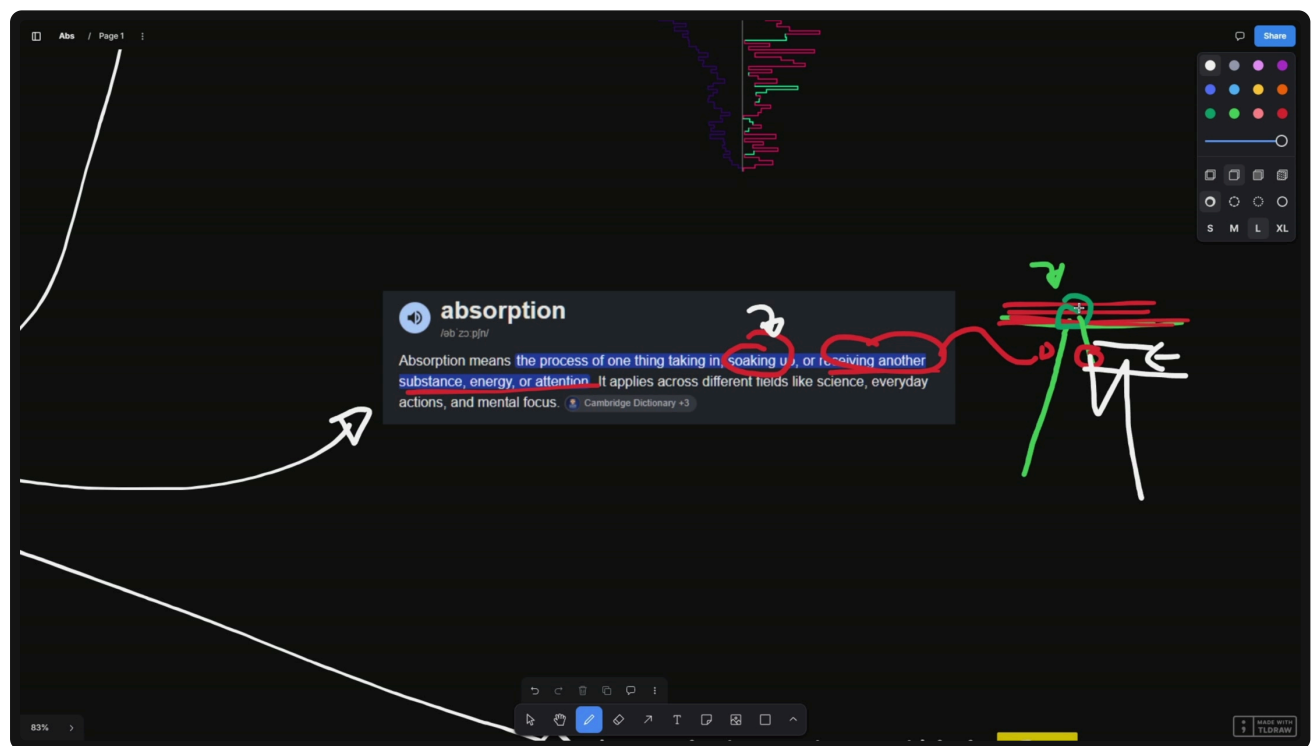
Reading the sponge on the chart

effort, a passive wall, no reward, then the reversal aggression that confirms it

Walked in order: aggressive effort from buyers pushing into a level. A wall of passive sellers absorbing it, not fighting it directly, just soaking it up. No reward for that buying effort, confirmed by price failing to hold the push. Then, and only then, seller aggression arrives and gives you a second energy source behind the move, not just an absence of buyers but active selling.

His own instruction from here: enter on the test of the reward system, not on the wall itself. Once price is going lower with aggression on your side and the opposition is failing, wait for one more retest with a decent amount of refresh orders in time and sales, visible on the DOM or the footprint too, before taking the trade.

THE DEFINITION, AND THE SPONGE: EFFORT UP, A PASSIVE WALL, NO REWARD, THEN THE REVERSAL



The full checklist version of this, with every scenario worked through live, is what gets walked through inside the mentorship.

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Mistake 4: not waiting for your side to win

the fastest read is Delta, not price

The fourth mistake is really the same underlying check as the first three, waiting for confirmation rather than the print, but read through a different tool: Delta, rather than price action or CVD.

The example he opens with is a deliberate non-example. A buyer comes in, sellers come in, it looks like a valid entry. But the location is POC, the single most decisive area for who should be in control, the area price is most likely to chop through rather than resolve from. Correct response: filter it out entirely, regardless of how clean the print looks.

The real signal shows up at value area high: buyers push in, get hit to the wall, sellers come in for the reward. Where does that wall actually originate? Traced back, it lines up with a high Delta spike of buyers, the moment the opposition was visibly losing control, right before sellers arrived passively to absorb the rest of that aggression.

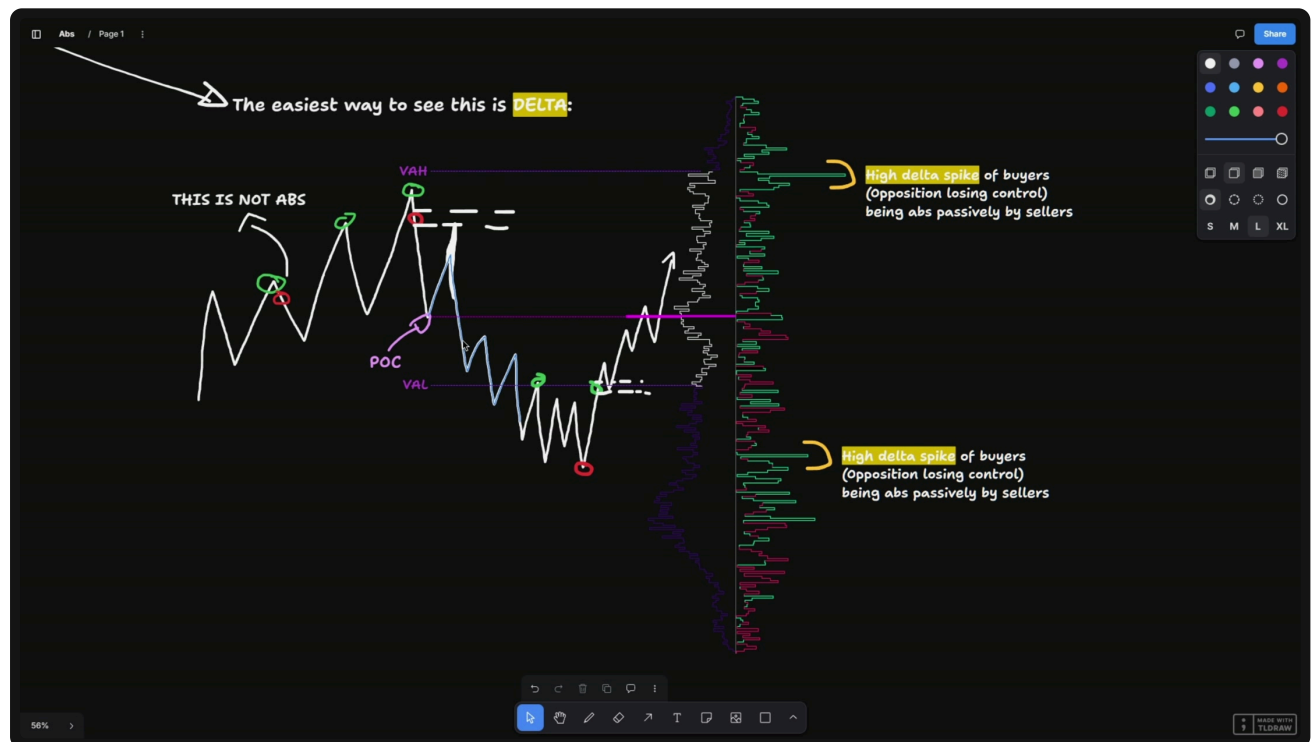
The Delta spike at both extremes

value area high and value area low, same tell, opposite direction

The same mechanic runs in both directions on the same chart. At value area high, a high Delta spike of buyers marks the opposition losing control, sellers absorbing that spike passively, and price rejecting lower. At value area low, the mirror image: a high Delta spike of buyers this time regaining control, sellers being absorbed at the bottom, price rejecting back up into balance.

What makes this the fastest of the four checks is that it doesn't require waiting for price to fully confirm. The Delta spike is visible at the moment control changes hands, which is earlier in the sequence than the price reaction that eventually follows it.

THE SAME DELTA SPIKE MECHANIC AT VAH AND AT VAL



Both labeled the same way in his own notes: a high Delta spike of buyers, read as the opposition losing control, being absorbed passively by sellers. One rejects a high, the other rejects a low.

The failed auction context

coming out of balance, and the honest range on the odds of coming back in

The value area low example above is also a failed auction: price comes out of balance below VAL, and by his own account, roughly 72 to 80 percent of the time price comes back into balance rather than continuing to trend away from it. He states this range while visibly correcting himself mid-sentence, so it's kept here as a range rather than rounded to one number, since he never settled on a single figure himself.

That statistic is not the trade signal by itself. It is the same permission structure from mistake two: a failed auction at a real, previously established balance is a location worth trusting an absorption read at. The Delta spike from the previous chapter is what tells you the opposition is losing control there; the failed auction statistic is what tells you the location has the odds in its favor once it does.

The checklist

every rule in this document, printable

MISTAKE 1: WAITING FOR A REWARD SYSTEM

-
- ☐ Price has moved in my direction within 3 ticks of the absorption print.
 - ☐ Time and sales or speed of tape shows the opposing side is not being refreshed, not defended.
 - ☐ Price is on the correct side of the CVD median for the direction I'm about to take.
 - ☐ I'm using this to fade an existing move, not to catch a continuation of one.
-

MISTAKE 2: FOLLOWING THE AUCTION

-
- ☐ This absorption is at a real extreme (shelf, ledge, low volume node, minor volume node), not near POC or inside balance.
 - ☐ If I'm using VAH/VAL, I know whether it's today's (still moving) or a previous day's (fixed).
-

MISTAKE 3: THE DEFINITION ITSELF

-
- ☐ I can point to the aggressive effort, then the passive wall that absorbed it, in that order.
 - ☐ That effort was NOT rewarded, confirmed by price failing to hold the push.
 - ☐ A second, opposite aggression has shown up, not just an absence of the first side.
 - ☐ I'm entering on the retest of the reward system, not on the wall itself.
-

MISTAKE 4: YOUR SIDE WINNING, NOT JUST THE OTHER SIDE LOSING

-
- ☐ I've filtered out any print sitting at POC, regardless of how clean it looks.
 - ☐ I can trace the wall back to an actual Delta spike where control changed hands.
 - ☐ If this is a failed auction, I'm treating the return-to-balance odds as roughly 72 to 80 percent, not a fixed number.
-

Same signal.

Four extra checks before you trust it.

None of these four mistakes is about finding a better order flow tool. They're about not trusting the tool you already have until it's been confirmed: a reward system, the right location in the auction, the actual definition of what absorption is, and a Delta spike that shows control genuinely changed hands.

The full breakdown of every scenario in this document, with a printable checklist, walked through live inside the mentorship.

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Companion reading: The Only Trade I'd Always Take, and Mastering AMT/VP, both free at kanji.org.uk.

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